

PLJ 2016 Lahore 721
[Multan Bench Multan]

Present: MASUD ABID NAQVI AND CH. MUHAMMAD IQBAL, JJ.

Haji NABI BAKHSH etc.--Appellants

versus

BANK OF PUNJAB etc.--Respondents

R.F.A. No. 268 of 2013, heard on 21.12.2015.

Cash Finance--

---Loan was obtained--Suit for recovery--Failed to file application for leave to appear and defend suit--Not entitled to assail judgment and decree--Renewal of loan facility--Principle debtors/defendants who filed an application to leave and defend suit, have neither filed instant appeal nor challenged judgment and decree but appellants who were impleaded as guarantors mortgagors never filed application to leave and defend suit but were challenging judgment and decree on plea that certain amounts were illegally debited to account of principle debtors/defendants and liable to be reversed--By scanning amount(s), mentioned statement of accounts, Banking Judge reduced claimed amount with costs. [P. 723] A

Mr. Manzoor-ul-Haq, Advocate for Appellants.

Mr. Muhammad Saleem Iqbal, Advocate-Bank for Respondents.

Date of hearing: 21.12.2015.

JUDGMENT

Masud Abid Naqvi, J.--Brief facts of this Regular First Appeal are that being a banking Company, the respondent filed a suit for recovery of Rs. 4488602/-against the Firm/Defendant No. 1 being principle debtor, Defendants Nos. 2,6 being partners and Defendants Nos. 3, 6 to 18 being mortgagors/guarantors of the Defendant No. 1. Only the Defendants Nos. 1, 2, 5, 6, 7 & 10 filed an application for leave to appear and defend the suit which was duly contested by the respondent bank by filing written reply thereto. After hearing the parties, the learned Banking Court, partially decreed the suit to the extent of Rs. 1907270/- with costs and cost of funds since 01.07.2006 vide judgment and decree dated 02.10.2013. Feeling aggrieved of impugned judgment and decree dated 02.10.2013 of the learned Banking Court, the Defendants No. 12, 13, 14 and the legal heirs of Defendants No. 3 & 8 (duly impleaded in the plaint also) have preferred instant appeal and challenged the validity of the said judgment and decree.

2. Learned counsel for the appellants submits that although the firm obtained the loan but fully paid the same and nothing is outstanding against the firm or appellants. On the other hand, learned counsel for the respondent/bank states that the present appellants have concealed the fact that inspite of service, they failed to file application for leave to appear and defend the suit and are not entitled to assail the judgment and decree, without setting aside the same from the learned Banking Court and supports the impugned judgment and decree. We have heard the arguments of the learned counsel for the parties and have minutely gone through record as well as the impugned judgment and decree.

3. Perusal of record reveals that the Defendant No. 1 through Defendants No. 2 & 4 requested the respondent bank for the grant of Cash Finance/Running Finance Facilities and availed finance Based Facility by way of cash Finance/Running Finance Facilities from the bank in 2004 to 30.06.2005. Thereafter, they again requested for renewal/enhancement of loan facility on 25.08.2005 from Rs. 20,000,000/- to Rs. 30,000,000/- having sub limits Cash Finance Facility for oil unit of Rs. 5,000,000/- and Running Finance Facility for Rs. 2,000,000/- to Rs. 5,000,000/- (of cash Finance Facility of Rs. 15,000,000/-) for the cotton season 2005-2006 but the respondent bank only approved the renewal of existing CF/RF facilities i.e. Cash Finance from Rs. 2,000,000/-, and sub-limits of Cash Finance for Oil Units 5,000,000/- and Running Finance from 2,000,000/- on 03.10.2005. The respondent bank further renewed/enhanced the Cash Finance Facility from 15,000,000/- to 40,000,000/- with sub limits of Cash Finance Facility for oil unit upto 5,000,000/- and Running Finance Facility from 2,000,000/- to 4,000,000/- dated 20.10.2005. The abovementioned defendants not only accepted the terms and conditions but also executed the charge/security documents in favour of plaintiff bank. Learned counsel for

the appellants mainly argues that although the facilities were availed by the Defendants Nos. 1, 2 & 4 but claimed that amounts were deposited by the Defendants Nos. 1, 2 & 4 which were sufficient for adjustment of all the liabilities.

It is proper to mention here that principle debtors/Defendants Nos. 1, 2 & 4 who filed an application to leave and defend the suit, have neither filed the instant appeal nor challenged the judgment and decree but the present appellants who were impleaded as guarantors/ mortgagors never filed the application to leave and defend the suit but are challenging the judgment and decree on the plea that certain amounts were illegally debited to the account of principle debtors/Defendants Nos. 1, 2 & 4 and liable to be reversed. By scanning the amount(s), mentioned the statement of accounts, the learned Banking Judge reduced the claimed amount i.e. Rs. 4488602/- to Rs. 1907270/- with costs and cost of funds since 01.07.2006. With the assistance of both the learned counsels for the parties and by segregating amounts of the statement of account, the decreed amount of Rs. 1907270/- is further reduced to Rs. 1,647,739/- with costs and costs of funds since 01.07.2006.

4. In view of the foregoing detailed discussion, we partially accept this appeal by modifying the impugned judgment and decree that suit is decreed for an amount of Rs. 1,647,739/- with costs and costs of funds since 01.07.2006

(R.A.) Appeal accepted